Meta Platforms Inc

Capex Climb Continues…Trick or Treat?

Overweight

META, META US
Price (29 Oct 25):$751.67
▼ **Price Target (Dec-26):$800.00**
Prior (Dec-26):$875.00

Internet - Large Cap / Mid & Small Cap

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Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 26E ($)	37.04	35.53

Quarterly Forecasts (FYE Dec)

Adj. EPS ($)	2024A	2025E	2026E
Q1	5.67	7.17A	7.92
Q2	6.24	8.11A	8.58
Q3	6.99	8.69A	8.85
Q4	8.80	9.79	10.18
FY	27.61	33.75	35.53

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	84	81	82	53	75
Growth	76	73	49	42	48
Momentum	31	48	16	76	13
Quality	1	8	4	5	2
Low Vol	40	41	39	60	30
ESGQ	92	93	84	82	25

Meta shares traded off nearly 7.5% last night after the company delivered 26% revenue growth in 3Q (+25% FXN) & guided to 16-22% growth in 4Q (+15-21% FXN). Yes, 4Q decelerates a few points on tougher comps, but that was mostly expected, and management is quite bullish on continued core AI improvements driving strong revenue growth in 2026, and likely beyond. **However, the real focus coming out of earnings is Meta's updated view on 2026 capex and expenses as the company looks to build out an industry-leading amount of compute.** Meta's outlook for 2026 capex relative to 2025 went from *similar* Y/Y dollar growth (around $30B) to *notably larger* Y/Y dollar growth—we now estimate a $43B increase to $115B in 2026 capex. Along the same lines, management increased its outlook for 2026 total expenses from *faster* Y/Y growth to *significantly faster*, and we now project total expenses of $153B (+30%). Given uncertainty around the timing of superintelligence, Meta is committed to its strategy of aggressively frontloading the capacity buildout. And if superintelligence timing is pushed out, management believes much of the capacity can be used profitably in the core business, which typically is compute constrained. We expected capex to increase coming out of 3Q earnings, and given the recent trend for Meta and the industry, the higher outlook is not really a surprise. **Still, the costs for Meta are outsized relative to Google and Amazon, as those companies are larger and both have cloud businesses that provide an immediate path to Gen AI monetization, unlike for Meta.** All of this makes revenue upside more critical in 2026. Our 2026/2027 revenue estimates increase 2-3% and we now project 17% revenue growth in 2026 (+16% FXN). However, our 2026/2027 GAAP EPS come down 7% / 4% to $29.08/$32.97, and we have FCF declining 66% to $14B in 2026, before resuming growth in 2027, assuming a more moderate increase in capex. **We will continue to give Meta the benefit of the doubt as core monetization is strong and we believe there is meaningful runway ahead, but the risk profile becomes further elevated**. We remain Overweight, but reduce our PT from $875 to $800 based on ~24x 2027E GAAP EPS of $32.97.

KEY THOUGHTS AFTER CALLS WITH MANAGEMENT

- **AI-Driven Engagement & Monetization Gains Lead to Strong Revenue Growth.** AI-driven engagement & monetization improvements are supporting revenue strength, with 3Q ad revenue growing +25% FXN, including growth of +14% across impressions & +10% across pricing. Improvements to recommendation systems continue to drive greater content relevancy & incremental engagement across FB, IG, & Threads. 3Q global time spent on both FB & IG accelerated, and US overall time spent on FB & IG grew DD% Y/Y. Video engagement remains strong, with video time spent on IG growing 30%+ Y/Y, & Reels is operating at a $50B+ ARR. Improvements to ads ranking & retrieval models continue to drive performance gains for advertisers. Improvements to Andromeda in 3Q drove a +14% increase in ads quality on FB surfaces & Lattice rolled out to app ads, yielding a ~3% conversion gain for

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 13 for analyst certification and important disclosures.

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Price Performance

	YTD	1m	3m	12m
Abs	28.4%	1.1%	7.4%	26.7%
Rel	11.2%	-2.3%	-0.8%	8.6%

Company Data

Shares O/S (mn)	2,572
52-week range ($)	796.25-479.80
Market cap ($ mn)	1,933,295.00
Exchange rate	1.00
Free float (%)	99.9%
3M ADV (mn)	11.92
3M ADV ($ mn)	8,896.7
Volatility (90 Day)	29
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	73|8|1

Key Metrics (FYE Dec)

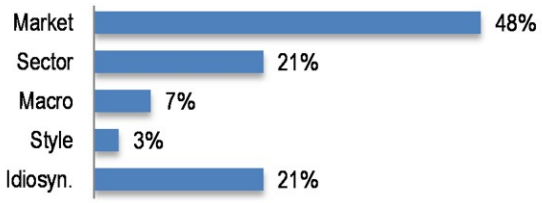
$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Revenue	164,501	199,759	233,351	263,828
Adj. EBIT	87,867	104,096	107,681	121,127
Adj. EBITDA	102,275	121,927	135,797	155,501
Adj. net income	72,183	86,856	90,840	102,808
Adj. EPS	27.61	33.75	35.53	40.27
BBG EPS	24.10	35.37	34.54	39.66
Cashflow from operations	91,328	115,157	131,426	153,501
FCFF	54,651	44,154	16,894	19,652
Margins and Growth				
Revenue Growth Y/Y (%)	21.9%	21.4%	16.8%	13.1%
EBIT margin	53.4%	52.1%	46.1%	45.9%
EBIT Growth Y/Y (%)	30.3%	18.5%	3.4%	12.5%
EBITDA margin	62.2%	61.0%	58.2%	58.9%
EBITDA Growth Y/Y (%)	31.9%	19.2%	11.4%	14.5%
Net margin	43.9%	43.5%	38.9%	39.0%
Adj. EPS growth	31.6%	22.2%	5.3%	13.4%
Ratios				
Adj. tax rate	19.0%	19.0%	19.0%	19.0%
Interest cover	143.0	126.6	140.9	179.2
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	43.0%	43.9%	36.2%	30.4%
Valuation				
FCFF yield	2.8%	2.3%	0.9%	1.0%
Dividend yield	-	-	-	-
EV/Revenue	11.9	9.8	8.3	7.3
EV/EBITDA	19.1	16.0	14.3	12.4
Adj. P/E	27.2	22.3	21.2	18.7

Summary Investment Thesis and Valuation

Investment Thesis

We believe Meta's virtual ownership of the social graph, strong competitive moat, and focus on the user experience position it to become an enduring blue-chip company built for the long term. Meta is in rarefied air across the combination of scale, growth, and profitability, as the company's massive reach and engagement continue to drive network effects, and its targeting abilities provide significant value to advertisers. Meta is also focused on the two big tech waves of AI and Metaverse, and it will spend into those major growth opportunities while also remaining disciplined. We recognize these L-T ambitions are driving increasing infrastructure investments to get ahead of a multi-year capacity ramp, but despite the heavy investments, we project solid revenue growth in '26, and Meta has a strong track record of driving returns on increased spending. We reduce our December 2026 PT from $875 to $800 based on ~24x our 2027E GAAP EPS of $32.97, further supported by our DCF model.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.81	0.73
Sect: Telecom Services	0.66	0.66
Ind: Media	0.66	0.66
Macro:		
Non-Energy Commodity	-0.39	-0.15
Credit Spread	0.23	0.10
US Dollar	0.09	0.07
Quant Styles:		
DivYld	-0.51	-0.40
Growth	0.25	0.32
Value	-0.23	-0.31

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

the objective. Meta also began piloting a new runtime ads ranking model in 3Q that leverages more compute & data to select more relevant ads, which drove a 2%+ lift in conversions on IG in testing. **While advances in ads ranking, retrieval, & content recommendation models have contributed meaningfully to growth over the past several quarters, Meta believes there is still runway to make significant improvements in 2026 by incorporating new AI advances & capabilities.** Meta is focused on combining its three major AI systems into a single unified AI system that can run across the entire Family of Apps while leveraging more compute, data, & intelligence to drive better performance & efficiency.

- **Infrastructure Drives Higher 2026 Capex & GAAP Expense Outlooks.** META is building talent density & infrastructure needed to establish the company as the leading frontier AI lab, building personal superintelligence for everyone, & delivering novel app experiences & computing devices to billions of users. Meta plans to frontload compute capacity by building infrastructure & contracting with 3P cloud providers. Meta now expects 2026 capex $ growth to be *notably larger* than in 2025, & expects total expenses to grow *significantly faster* in 2026 than in 2025. Meta is also leveraging 3P financing to provide optionality around future computing needs, as evidenced through the Hyperion JV with Blue Owl. Meta will contribute 20% of the remaining construction costs required, which will be recorded as other investing cash flows, and not capex. META continues to believe that there is significant risk in *underinvesting* in AI, but in a downside scenario the company would slow new infrastructure builds & grow into capacity.
- **Other Notable Points. 1)** Threads passed 150M DAUs & engagement continues to deepen, with ranking optimizations in 3Q driving a 10% increase in time spent; **2)** Click-to-WhatsApp ads revenue grew +60% Y/Y in 3Q & Meta is continuing to gradually introduce WhatsApp Status ads & expects to complete the rollout next year; **3)** Vibes usage continues to grow week/week & media generation in the Meta AI app has increased 10x+ since Vibes launched in September; **4)** The ARR of revenue running through end-to-end AI-powered solutions reached $60B+ & adoption of image animation & video expansion continues to scale, w/the number of advertisers using at least one Advantage+ video generation feature up +20% Q/Q; **5)** Every day, users have 1B+ active threads with business accounts across Meta's messaging platforms & Meta believes business AIs will enable tens of millions of businesses to scale conversations & improve sales at a low cost.

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Summary of the Quarter

Figure 1: META 3Q25 Results vs. J.P. Morgan Estimates

$ in millions, except per share data

Meta Platforms	3Q25 JPME	3Q25 Actuals	3Q25 Diff (%)	3Q25 Guidance
Family Daily Active People	**3,520**	**3,540**	**0.6%**	
Total Revenue	**50,163**	$51,242	2.2%	**$47.5B-$50.5B**
Advertising Revenue	49,174	$50,082	1.8%	
Operating Income	**20,466**	$20,535	0.3%	
% Margin	40.8%	40.1%	(73)bps	
Adjusted EBITDA	**31,393**	$31,125	-0.9%	
% Margin	62.6%	60.7%	(184)bps	
GAAP EPS	**$7.56**	$1.05	-86.1%	
Y/Y Growth:				
Revenue	*24%*	*26%*	266bps	
FXN Ad Revenue	*22%*	*25%*	229bps	
Advertising	*23%*	*26%*	228bps	
EBITDA	*22%*	*21%*	(104)bps	
Operating Income	*18%*	*18%*	40bps	
GAAP EPS	*25%*	*-83%*	(10,777)bps	

Source: Company reports and J.P. Morgan estimates.

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Meta Platforms Estimate Changes

Figure 2: Adjusting J.P. Morgan Estimates, 4Q25E-2027E

$ in millions, except per share data

META	4Q25E		2025E		1Q26E	2Q26E	3Q26E	4Q26E	2026E		2027E	
($ in millions)	Old	New	Old	New	New	New	New	New	Old	New	Old	New
Family Daily Active People	3,574	3,585	3,574	3,585	3,629	3,664	3,710	3,746	3,710	3,746	3,814	3,851
Y/Y Growth	*2.8%*	*2.8%*	*2.8%*	*2.8%*	*2.4%*	*2.2%*	*2.2%*	*2.0%*	*2.0%*	*2.0%*	*1.5%*	*1.5%*
% chg vs. old		0.3%		0.3%						1.0%		1.0%
Total Revenue	58,307	58,687	198,299	199,759	51,119	55,264	58,816	68,152	228,389	233,351	256,938	263,828
Y/Y Growth	*20.5%*	*21.3%*	*20.5%*	*21.4%*	*20.8%*	*16.3%*	*14.8%*	*16.1%*	*15.2%*	*16.8%*	*12.5%*	*13.1%*
FXN Y/Y Growth	*18.5%*	*20.4%*	*20.5%*	*21.7%*	*17.5%*	*15.5%*	*14.9%*	*16.2%*	*15.2%*	*16.0%*	*12.5%*	*13.1%*
% chg vs. old		0.7%		0.7%						2.2%		2.7%
Advertising Revenue	56,252	56,882	193,381	194,919	49,812	54,015	57,313	65,908	222,172	227,047	249,154	255,903
Y/Y Growth	*20.2%*	*21.6%*	*20.4%*	*21.3%*	*20.3%*	*16.0%*	*14.4%*	*15.9%*	*14.9%*	*16.5%*	*12.1%*	*12.7%*
FXN Y/Y Growth	*18.1%*	*20.6%*	*20.3%*	*21.6%*	*16.9%*	*15.2%*	*14.5%*	*15.9%*	*14.9%*	*15.6%*	*12.1%*	*12.7%*
% chg vs. old		1.1%		0.8%						2.2%		2.7%
Reality Labs	1,224	975	2,322	2,227	466	403	503	1,082	2,531	2,454	2,733	2,650
Y/Y Growth	*13.0%*	*-10.0%*	*8.2%*	*3.8%*	*13.0%*	*9.0%*	*7.0%*	*11.0%*	*9.0%*	*10.2%*	*8.0%*	*8.0%*
% chg vs. old		-20.4%		-4.1%						-3.0%		-3.0%
Adjusted EBITDA	36,310	35,350	123,155	121,927	29,610	32,283	34,465	39,438	139,677	135,797	155,669	155,501
Y/Y Growth	*12.6%*	*9.7%*	*20.4%*	*19.2%*	*14.9%*	*8.7%*	*10.7%*	*11.6%*	*13.4%*	*11.4%*	*11.4%*	*14.5%*
Margin (%)	62.3%	60.2%	62.1%	61.0%	57.9%	58.4%	58.6%	57.9%	61.2%	58.2%	60.6%	58.9%
% chg vs. old		-2.6%		-1.0%						-2.8%		-0.1%
GAAP COGS and Opex	33,701	34,860	115,231	117,401	33,432	36,474	38,760	43,958	142,400	152,624	163,669	172,939
Y/Y Growth	*34.7%*	*39.3%*	*21.1%*	*23.4%*	*35.0%*	*34.7%*	*26.2%*	*26.1%*	*23.6%*	*30.0%*	*14.9%*	*13.3%*
% chg vs. old		3.4%		1.9%						7.2%		5.7%
GAAP Operating Income	24,605	23,827	83,068	82,358	17,687	18,790	20,056	24,194	85,988	80,727	93,268	90,889
Y/Y Growth	*5.3%*	*2.0%*	*19.7%*	*18.7%*	*0.8%*	*-8.1%*	*-2.3%*	*1.5%*	*3.5%*	*-2.0%*	*8.5%*	*12.6%*
Margin (%)	42.2%	40.6%	41.9%	41.2%	34.6%	34.0%	34.1%	35.5%	37.7%	34.6%	36.3%	34.5%
% chg vs. old		-3.2%		-0.9%						-6.1%		-2.6%
GAAP EPS	$9.00	$8.42	$30.10	$23.03	$6.39	$6.85	$7.21	$8.63	$31.29	$29.08	$34.17	$32.97
Y/Y Growth	*12.3%*	*5.0%*	*26.2%*	*-3.5%*	*-0.5%*	*-4.0%*	*584.7%*	*2.5%*	*3.9%*	*26.3%*	*9.2%*	*13.4%*
% chg vs. old		-6.5%		-23.5%						-7.1%		-3.5%
Capex	21,573	23,475	70,616	71,783	22,492	27,632	29,408	35,780	105,059	115,312	118,191	134,552
Y/Y Growth	*49.6%*	*62.7%*	*89.5%*	*92.7%*	*73.8%*	*67.1%*	*56.2%*	*52.4%*	*48.8%*	*60.6%*	*12.5%*	*16.7%*
% chg vs. old		8.8%		1.7%						9.8%		13.8%
FCF	12,713	11,552	42,044	41,060	5,958	2,250	2,648	3,078	27,434	13,934	35,035	16,769
Y/Y Growth	*-3.3%*	*-12.2%*	*-19.3%*	*-21.2%*	*-42.3%*	*-73.7%*	*-75.1%*	*-73.4%*	*-34.7%*	*-66.1%*	*27.7%*	*20.3%*
% chg vs. old		-9.1%		-2.3%						-49.2%		-52.1%

Source: J.P. Morgan estimates.

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Model Pages

Figure 3: Meta Platforms Income Statement

$ in millions, except per share data

	2022A	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E
Revenue	**116,609**	**134,902**	**164,501**	**42,314**	**47,516**	**51,242**	**58,687**	**199,759**	**51,119**	**55,264**	**58,816**	**68,152**	**233,351**	**263,828**
Cost of Revenue	22,986	25,264	29,076	7,301	8,213	8,858	10,270	34,643	8,895	9,726	10,352	12,267	41,240	47,489
Gross Profit	**93,623**	**109,638**	**135,425**	**35,013**	**39,303**	**42,384**	**48,417**	**165,117**	**42,224**	**45,537**	**48,464**	**55,885**	**192,111**	**216,339**
Operating Expenses:														
Marketing and Sales	13,619	10,647	10,267	2,521	2,745	2,505	2,934	10,706	2,760	2,929	3,117	3,680	12,487	13,851
Research and Development	24,259	25,060	29,935	8,723	8,862	10,588	12,148	40,321	13,291	13,926	15,763	17,992	60,972	69,387
General and Administrative	10,198	9,700	8,763	2,067	2,421	3,201	3,815	11,504	2,709	3,095	3,176	3,612	12,592	13,719
Stock-based Compensation	11,991	14,027	16,690	4,147	4,834	5,555	5,693	20,229	5,776	6,797	6,352	6,406	25,332	28,493
Restructuring Costs	4,611	3,452	389	0	0	0	0	0	0	0	0	0	0	0
Total Operating Expenses	**64,678**	**62,886**	**66,044**	**17,458**	**18,862**	**21,849**	**24,590**	**82,759**	**24,537**	**26,748**	**28,408**	**31,691**	**111,384**	**125,450**
Total GAAP Expenses (COGS + Opex)	**87,665**	**88,151**	**95,120**	**24,759**	**27,075**	**30,707**	**34,860**	**117,401**	**33,432**	**36,474**	**38,760**	**43,958**	**152,624**	**172,939**
Operating Income	**28,944**	**46,751**	**69,380**	**17,555**	**20,441**	**20,535**	**23,827**	**82,358**	**17,687**	**18,790**	**20,056**	**24,194**	**80,727**	**90,889**
Non-GAAP Operating Income	**46,774**	**65,545**	**87,868**	**22,121**	**25,646**	**26,464**	**29,865**	**104,096**	**23,920**	**25,984**	**26,809**	**30,969**	**107,681**	**121,127**
Interest Expense	(185)	(446)	(715)	(240)	(241)	(241)	(241)	(963)	(241)	(241)	(241)	(241)	(964)	(868)
Other income (expense), net	(125)	677	1,284	827	93	1,128	1,128	3,176	1,128	1,128	1,128	1,128	4,512	5,847
Pre-tax Income	**28,819**	**47,428**	**70,664**	**18,382**	**20,534**	**21,663**	**24,955**	**85,534**	**18,815**	**19,918**	**21,184**	**25,322**	**85,239**	**96,736**
Income Taxes	5,620	8,331	8,304	1,738	2,197	18,954	3,369	26,258	2,446	2,390	2,754	3,292	10,882	12,576
Effective Tax Rate	20%	18%	12%	9%	11%	87%	14%	31%	13%	12%	13%	13%	13%	13%
GAAP Net Income	**23,200**	**39,098**	**62,360**	**16,644**	**18,337**	**2,709**	**21,586**	**59,276**	**16,369**	**17,528**	**18,430**	**22,030**	**74,357**	**84,160**
GAAP Basic EPS	**$8.63**	**$15.19**	**$24.61**	**$6.59**	**$7.28**	**$1.08**	**$8.61**	**$23.54**	**$6.53**	**$7.00**	**$7.37**	**$8.82**	**$29.72**	**$33.70**
GAAP Diluted EPS	**$8.59**	**$14.87**	**$23.86**	**$6.43**	**$7.14**	**$1.05**	**$8.42**	**$23.03**	**$6.39**	**$6.85**	**$7.21**	**$8.63**	**$29.08**	**$32.97**
Basic Shares Out	2,687	2,574	2,534	2,527	2,518	2,517	2,508	2,518	2,506	2,503	2,501	2,498	2,502	2,497
Diluted Shares Out	2,702	2,629	2,614	2,590	2,570	2,572	2,564	2,574	2,561	2,558	2,556	2,553	2,557	2,553
Adjusted EBITDA Reconciliation:														
Operating Income	28,944	46,751	69,380	17,555	20,441	20,535	23,827	82,358	17,687	18,790	20,056	24,194	80,727	90,889
Stock-based compensation	11,991	14,027	16,690	4,147	4,834	5,555	5,693	20,229	5,776	6,797	6,352	6,406	25,332	28,493
Payroll Tax Related to SBC, Other	4,849	5,598	707	161	72	72	61	365	185	83	83	70	420	483
Depreciation and Amortization	8,686	11,177	15,498	3,900	4,342	4,963	5,770	18,975	5,962	6,613	7,974	8,767	29,317	35,636
Adjusted EBITDA	**54,470**	**77,553**	**102,275**	**25,763**	**29,689**	**31,125**	**35,350**	**121,927**	**29,610**	**32,283**	**34,465**	**39,438**	**135,797**	**155,501**

Source: Company reports and J.P. Morgan estimates.

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Figure 4: Meta Platforms Income Statement (Cont'd)

Y/Y Growth	2022A	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E
Revenue	**-1.1%**	**15.7%**	**21.9%**	**16.1%**	**21.6%**	**26.2%**	**21.3%**	**21.4%**	**20.8%**	**16.3%**	**14.8%**	**16.1%**	**16.8%**	**13.1%**
Revenue FXN	**3.9%**	**15.4%**	**22.6%**	**19.5%**	**21.8%**	**25.2%**	**20.4%**	**21.7%**	**17.5%**	**15.5%**	**14.9%**	**16.2%**	**16.0%**	**13.1%**
Cost of Revenue	4.1%	9.9%	15.1%	14.1%	17.0%	24.6%	20.1%	19.1%	21.8%	18.4%	16.9%	19.4%	19.0%	15.2%
Gross Profit	**-2.3%**	**17.1%**	**23.5%**	**16.5%**	**22.6%**	**26.6%**	**21.5%**	**21.9%**	**20.6%**	**15.9%**	**14.3%**	**15.4%**	**16.3%**	**12.6%**
Marketing and Sales	3.1%	-21.8%	-3.6%	9.5%	13.1%	-2.2%	-1.4%	4.3%	9.5%	6.7%	24.4%	25.4%	16.6%	10.9%
Research and Development	38.2%	3.3%	19.5%	26.3%	31.7%	37.8%	41.1%	34.7%	52.4%	57.1%	48.9%	48.1%	51.2%	13.8%
General and Administrative	11.0%	-4.9%	-9.7%	-35.8%	-28.6%	96.9%	625.2%	31.3%	31.1%	27.8%	-0.8%	-5.3%	9.5%	8.9%
Stock-based Compensation	30.9%	17.0%	19.0%	16.4%	4.7%	30.7%	33.6%	21.2%	39.3%	40.6%	14.3%	12.5%	25.2%	12.5%
Total Operating Expenses	**31.7%**	**-2.8%**	**5.0%**	**7.5%**	**9.6%**	**35.4%**	**49.3%**	**25.3%**	**40.5%**	**41.8%**	**30.0%**	**28.9%**	**34.6%**	**12.6%**
Total GAAP Expenses	**23.2%**	**0.6%**	**7.9%**	**9.4%**	**11.8%**	**32.1%**	**39.3%**	**23.4%**	**35.0%**	**34.7%**	**26.2%**	**26.1%**	**30.0%**	**13.3%**
Operating Income	**-38.1%**	**61.5%**	**48.4%**	**27.0%**	**37.7%**	**18.4%**	**2.0%**	**18.7%**	**0.8%**	**-8.1%**	**-2.3%**	**1.5%**	**-2.0%**	**12.6%**
GAAP Net Income	-41.1%	68.5%	59.5%	34.6%	36.2%	-82.7%	3.6%	-4.9%	-1.7%	-4.4%	580.3%	2.1%	25.4%	13.2%
GAAP EPS	**-37.6%**	**73.2%**	**60.4%**	**36.4%**	**38.3%**	**-82.5%**	**5.0%**	**-3.5%**	**-0.5%**	**-4.0%**	**584.7%**	**2.5%**	**26.3%**	**13.4%**
Adjusted EBITDA	**-15.0%**	**42.4%**	**31.9%**	**21.9%**	**27.9%**	**21.1%**	**9.7%**	**19.2%**	**14.9%**	**8.7%**	**10.7%**	**11.6%**	**11.4%**	**14.5%**

% of Revenues	2022A	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E
Cost of Revenue	19.7%	18.7%	17.7%	17.3%	17.3%	17.3%	17.5%	17.3%	17.4%	17.6%	17.6%	18.0%	17.7%	18.0%
Marketing and Sales	11.7%	7.9%	6.2%	6.0%	5.8%	4.9%	5.0%	5.4%	5.4%	5.3%	5.3%	5.4%	5.4%	5.3%
Research and Development	20.8%	18.6%	18.2%	20.6%	18.7%	20.7%	20.7%	20.2%	26.0%	25.2%	26.8%	26.4%	26.1%	26.3%
General and Administrative	8.7%	7.2%	5.3%	4.9%	5.1%	6.2%	6.5%	5.8%	5.3%	5.6%	5.4%	5.3%	5.4%	5.2%
Stock-based Compensation	10.3%	10.4%	10.1%	9.8%	10.2%	10.8%	9.7%	10.1%	11.3%	12.3%	10.8%	9.4%	10.9%	10.8%
Total GAAP Operating Expenses	**55.5%**	**46.6%**	**40.1%**	**41.3%**	**39.7%**	**42.6%**	**41.9%**	**41.4%**	**48.0%**	**48.4%**	**48.3%**	**46.5%**	**47.7%**	**47.6%**

Margins	2022A	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E
Gross Margin	80.3%	81.3%	82.3%	82.7%	82.7%	82.7%	82.5%	82.7%	82.6%	82.4%	82.4%	82.0%	82.3%	82.0%
GAAP Operating margin	**24.8%**	**34.7%**	**42.2%**	**41.5%**	**43.0%**	**40.1%**	**40.6%**	**41.2%**	**34.6%**	**34.0%**	**34.1%**	**35.5%**	**34.6%**	**34.5%**
Adjusted EBITDA Margin	**46.7%**	**57.5%**	**62.2%**	**60.9%**	**62.5%**	**60.7%**	**60.2%**	**61.0%**	**57.9%**	**58.4%**	**58.6%**	**57.9%**	**58.2%**	**58.9%**
Incremental Adjusted EBITDA Margin	**728.6%**	**126.2%**	**83.5%**	**78.9%**	**76.8%**	**50.9%**	**30.2%**	**55.7%**	**43.7%**	**33.5%**	**44.1%**	**43.2%**	**41.3%**	**64.7%**

Source: Company reports and J.P. Morgan estimates.

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Figure 5: Meta Platforms Segment Summary: Revenue Build

$ in millions, except per share data

Revenue Summary	2022A	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E
Advertising Revenue	**113,641**	**131,948**	**160,633**	**41,392**	**46,563**	**50,082**	**56,882**	**194,919**	**49,812**	**54,015**	**57,313**	**65,908**	**227,047**	**255,903**
Y/Y Growth	*-1.1%*	*16.1%*	*21.7%*	*16.2%*	*21.5%*	*25.6%*	*21.6%*	*21.3%*	*20.3%*	*16.0%*	*14.4%*	*15.9%*	*16.5%*	*12.7%*
Q/Q Growth				*-11.5%*	*12.5%*	*7.6%*	*13.6%*		*-12.4%*	*8.4%*	*6.1%*	*15.0%*		
% of Total Revenues	97.5%	97.8%	97.6%	97.8%	98.0%	97.7%	96.9%	97.6%	97.4%	97.7%	97.4%	96.7%	97.3%	97.0%
FX Impact	(5,896)	379	(881)	(1,224)	(80)	409	440	(455)	1,409	367	(36)	(24)	1,716	
FXN Advertising Revenue	119,537	131,569	161,513	42,616	46,643	49,673	56,442	195,374	48,403	53,648	57,349	65,932	225,331	255,903
FXN Y/Y Growth	***4.0%***	***15.8%***	***22.4%***	***19.6%***	***21.7%***	***24.5%***	***20.6%***	***21.6%***	***16.9%***	***15.2%***	***14.5%***	***15.9%***	***15.6%***	***12.7%***
Other Revenue	**809**	**1,058**	**1,722**	**510**	**583**	**690**	**830**	**2,613**	**842**	**845**	**1,001**	**1,163**	**3,850**	**5,274**
Y/Y Growth	*12.2%*	*30.8%*	*62.8%*	*34.2%*	*49.9%*	*59.0%*	*60.0%*	*51.8%*	*65.0%*	*45.0%*	*45.0%*	*40.0%*	*47.3%*	*37.0%*
Q/Q Growth				*-1.7%*	*14.3%*	*18.4%*	*20.3%*		*1.3%*	*0.5%*	*18.4%*	*16.2%*		
% of Total Revenues	0.7%	0.8%	1.0%	1.2%	1.2%	1.3%	1.4%	1.3%	1.6%	1.5%	1.7%	1.7%	1.6%	2.0%
Family of Apps Revenue	**114,450**	**133,006**	**162,355**	**41,902**	**47,146**	**50,772**	**57,712**	**197,532**	**50,653**	**54,861**	**58,313**	**67,070**	**230,897**	**261,178**
Y/Y Growth	*-1.0%*	*16.2%*	*22.1%*	*16.3%*	*21.8%*	*25.9%*	*22.0%*	*21.7%*	*20.9%*	*16.4%*	*14.9%*	*16.2%*	*16.9%*	*13.1%*
Q/Q Growth				*-11.4%*	*12.5%*	*7.7%*	*13.7%*	*242.3%*	*-12.2%*	*8.3%*	*6.3%*	*15.0%*	*244.3%*	
% of Total Revenues	98.1%	98.6%	98.7%	99.0%	99.2%	99.1%	98.3%	98.9%	99.1%	99.3%	99.1%	98.4%	98.9%	99.0%
Reality Labs	**2,159**	**1,896**	**2,146**	**412**	**370**	**470**	**975**	**2,227**	**466**	**403**	**503**	**1,082**	**2,454**	**2,650**
Y/Y Growth	*-5.1%*	*-12.2%*	*13.2%*	*-6.4%*	*4.8%*	*74.1%*	*-10.0%*	*3.8%*	*13.0%*	*9.0%*	*7.0%*	*11.0%*	*10.2%*	*8.0%*
Q/Q Growth				*-62.0%*	*-10.2%*	*27.0%*	*107.4%*	*128.4%*	*-52.2%*	*-13.4%*	*24.7%*	*115.1%*	*126.8%*	
% of Total Revenues	1.9%	1.4%	1.3%	1.0%	0.8%	0.9%	1.7%	1.1%	0.9%	0.7%	0.9%	1.6%	1.1%	1.0%
Total Revenue	**116,609**	**134,902**	**164,501**	**42,314**	**47,516**	**51,242**	**58,687**	**199,759**	**51,119**	**55,264**	**58,816**	**68,152**	**233,351**	**263,828**
Y/Y Growth	*-1.1%*	*15.7%*	*21.9%*	*16.1%*	*21.6%*	*26.2%*	*21.3%*	*21.4%*	*20.8%*	*16.3%*	*14.8%*	*16.1%*	*16.8%*	*13.1%*
Q/Q Growth				*-12.5%*	*12.3%*	*7.8%*	*14.5%*		*-12.9%*	*8.1%*	*6.4%*	*15.9%*		
FX Impact	(5,957)	373	(874)	(1,237)	(82)	412	440	(467)	1,409	367	(36)	(24)	1,716	
FXN Revenue	122,566	134,529	165,375	43,551	47,598	50,830	58,247	200,226	49,710	54,897	58,852	68,176	231,635	263,828
FXN Y/Y Growth	***3.9%***	***15.4%***	***22.6%***	***19.5%***	***21.8%***	***25.2%***	***20.4%***	***21.7%***	***17.5%***	***15.5%***	***14.9%***	***16.2%***	***16.0%***	***13.1%***
Seasonality	100.0%	100.0%	100.0%	21.2%	23.8%	25.7%	29.4%	100.0%	21.9%	23.7%	25.2%	29.2%	100.0%	

Source: Company reports and J.P. Morgan estimates.

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Figure 6: Meta Platforms Segment Summary: Operating Income Build

$ in millions, except per share data

Operating Income Build	2022A	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E
Family of Apps														
Family of Apps Revenue	**114,450**	**133,006**	**162,355**	**41,902**	**47,146**	**50,772**	**57,712**	**197,532**	**50,653**	**54,861**	**58,313**	**67,070**	**230,897**	**261,178**
Y/Y Growth	*-1.0%*	*16.2%*	*22.1%*	*16.3%*	*21.8%*	*25.9%*	*22.0%*	*21.7%*	*20.9%*	*16.4%*	*14.9%*	*16.2%*	*16.9%*	*13.1%*
% of Total Revenue	98.1%	98.6%	98.7%	99.0%	99.2%	99.1%	98.3%	98.9%	99.1%	99.3%	99.1%	98.4%	98.9%	99.0%
Family of Apps Costs & Expenses	**71,788**	**70,135**	**75,245**	**20,137**	**22,175**	**25,805**	**28,455**	**96,572**	**28,997**	**31,489**	**31,740**	**34,715**	**126,941**	**143,443**
Y/Y Growth	*22.3%*	*-2.3%*	*7.3%*	*9.7%*	*14.4%*	*39.2%*	*50.0%*	*28.3%*	*44.0%*	*42.0%*	*23.0%*	*22.0%*	*31.4%*	*13.0%*
% of Total Costs & Expenses	81.9%	79.6%	79.1%	81.3%	81.9%	84.0%	81.6%	82.3%	86.7%	86.3%	81.9%	79.0%	83.2%	82.9%
Family of Apps Operating Income	**42,661**	**62,871**	**87,109**	**21,765**	**24,971**	**24,967**	**29,257**	**100,960**	**21,656**	**23,372**	**26,573**	**32,355**	**103,956**	**117,734**
Y/Y Growth	*-25.1%*	*47.4%*	*38.6%*	*23.2%*	*29.1%*	*14.6%*	*3.3%*	*15.9%*	*-0.5%*	*-6.4%*	*6.4%*	*10.6%*	*3.0%*	*13.3%*
% Margin	37.3%	47.3%	53.7%	51.9%	53.0%	49.2%	50.7%	51.1%	42.8%	42.6%	45.6%	48.2%	45.0%	45.1%
% of Total Operating Income	147.4%	134.5%	125.6%	124.0%	122.2%	121.6%	122.8%	122.6%	122.4%	124.4%	132.5%	133.7%	128.8%	129.5%
Reality Labs				-8.0%	1.0%	-3.8%	1.5%		-7.9%	-0.2%	3.0%	2.7%		
Reality Labs Revenue	**2,159**	**1,896**	**2,146**	**412**	**370**	**470**	**975**	**2,227**	**466**	**403**	**503**	**1,082**	**2,454**	**2,650**
Y/Y Growth	*-5.1%*	*-12.2%*	*13.2%*	*-6.4%*	*4.8%*	*74.1%*	*-10.0%*	*3.8%*	*13.0%*	*9.0%*	*7.0%*	*11.0%*	*10.2%*	*8.0%*
% of Total Revenue	1.9%	1.4%	1.3%	1.0%	0.8%	0.9%	1.7%	1.1%	0.9%	0.7%	0.9%	1.6%	1.1%	1.0%
Reality Labs Costs & Expenses	**15,876**	**18,015**	**19,875**	**4,622**	**4,900**	**4,902**	**6,405**	**20,829**	**4,435**	**4,986**	**7,020**	**9,243**	**25,683**	**29,496**
Y/Y Growth	*27.3%*	*13.5%*	*10.3%*	*7.8%*	*1.2%*	*4.3%*	*5.9%*	*4.8%*	*-4.1%*	*1.7%*	*43.2%*	*44.3%*	*23.3%*	*14.8%*
% of Total Costs & Expenses	18.1%	20.4%	20.9%	18.7%	18.1%	16.0%	18.4%	17.7%	13.3%	13.7%	18.1%	21.0%	16.8%	17.1%
Reality Labs Operating Income	**(13,717)**	**(16,120)**	**(17,729)**	**(4,210)**	**(4,530)**	**(4,432)**	**(5,430)**	**(18,602)**	**(3,969)**	**(4,582)**	**(6,517)**	**(8,161)**	**(23,229)**	**(26,846)**
Y/Y Growth	*-34.6%*	*-17.5%*	*-10.0%*	*-9.5%*	*-0.9%*	*-0.1%*	*-9.3%*	*-4.9%*	*5.7%*	*-1.2%*	*-47.0%*	*-50.3%*	*-24.9%*	*-15.6%*
% Margin	-635.3%	-850.2%	-826.1%	-1021.8%	-1224.3%	-943.0%	-557.1%	-835.4%	-852.5%	-1136.2%	-1295.8%	-754.3%	-946.7%	-1013.1%
% of Total Operating Income	-47.4%	-34.5%	-25.6%	-24.0%	-22.2%	-21.6%	-22.8%	-22.6%	-22.4%	-24.4%	-32.5%	-33.7%	-28.8%	-29.5%
Total Company														
Total Revenue	**116,609**	**134,902**	**164,501**	**42,314**	**47,516**	**51,242**	**58,687**	**199,759**	**51,119**	**55,264**	**58,816**	**68,152**	**233,351**	**263,828**
Y/Y Growth	*-1.1%*	*15.7%*	*21.9%*	*16.1%*	*21.6%*	*26.2%*	*21.3%*	*21.4%*	*20.8%*	*16.3%*	*14.8%*	*16.1%*	*16.8%*	*13.1%*
Total Costs & Expenses	**87,665**	**88,151**	**95,120**	**24,759**	**27,075**	**30,707**	**34,860**	**117,401**	**33,432**	**36,474**	**38,760**	**43,958**	**152,624**	**172,939**
Y/Y Growth	*23.2%*	*0.6%*	*7.9%*	*9.4%*	*11.8%*	*32.1%*	*39.3%*	*23.4%*	*35.0%*	*34.7%*	*26.2%*	*26.1%*	*30.0%*	*13.3%*
Total Operating Income	**28,944**	**46,751**	**69,380**	**17,555**	**20,441**	**20,535**	**23,827**	**82,358**	**17,687**	**18,790**	**20,056**	**24,194**	**80,727**	**90,889**
Y/Y Growth	*-38.1%*	*61.5%*	*48.4%*	*27.0%*	*37.7%*	*18.4%*	*2.0%*	*18.7%*	*0.8%*	*-8.1%*	*-2.3%*	*1.5%*	*-2.0%*	*12.6%*
% Margin	24.8%	34.7%	42.2%	41.5%	43.0%	40.1%	40.6%	41.2%	34.6%	34.0%	34.1%	35.5%	34.6%	34.5%

Source: Company reports and J.P. Morgan estimates.

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Figure 7: Meta Platforms Revenue Summary

$ in millions, except per share data

Revenue per MAU (ARPU) Build	2022A	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E
US & Canada	$206.78	$227.68	$263.62	$67.59	$73.64	$78.34	$93.08	$313.22	$78.89	$85.55	$90.04	$106.64	$361.89	$403.09
Europe	$61.83	$75.79	$94.57	$23.54	$28.01	$29.66	$35.45	$116.58	$29.48	$32.53	$33.77	$40.94	$136.92	$154.03
Asia	$18.15	$20.09	$23.66	$5.95	$6.54	$7.12	$7.78	$27.51	$6.82	$7.15	$7.72	$8.70	$30.46	$33.18
Rest of World	$13.24	$15.88	$20.13	$5.29	$5.85	$6.45	$6.30	$23.96	$6.41	$6.67	$7.21	$7.32	$27.62	$31.84
Total ARPU	**$39.70**	**$44.76**	**$52.97**	**$13.39**	**$14.90**	**$15.95**	**$18.18**	**$62.61**	**$15.76**	**$16.94**	**$17.92**	**$20.67**	**$71.43**	**$79.35**
ARPU Y/Y Growth:														
US & Canada	*-3.3%*	*10.1%*	*15.8%*	*16.2%*	*19.2%*	*21.7%*	*17.2%*	*18.8%*	*16.7%*	*16.2%*	*14.9%*	*14.6%*	*15.5%*	*11.4%*
Europe	*-10.1%*	*22.6%*	*24.8%*	*13.5%*	*23.6%*	*28.6%*	*27.0%*	*23.3%*	*25.2%*	*16.1%*	*13.9%*	*15.5%*	*17.4%*	*12.5%*
Asia	*3.6%*	*10.7%*	*17.8%*	*9.3%*	*14.7%*	*20.7%*	*18.1%*	*16.2%*	*14.6%*	*9.3%*	*8.4%*	*11.8%*	*10.7%*	*8.9%*
Rest of World	*6.9%*	*20.0%*	*26.8%*	*15.9%*	*19.7%*	*27.2%*	*12.6%*	*19.0%*	*21.2%*	*13.9%*	*11.8%*	*16.2%*	*15.3%*	*15.3%*
Total ARPU	***-3.9%***	***12.8%***	***18.4%***	***13.0%***	***18.2%***	***22.5%***	***17.8%***	***18.2%***	***17.7%***	***13.7%***	***12.3%***	***13.7%***	***14.1%***	***11.1%***
ARPU Q/Q Growth:														
US & Canada				*-14.9%*	*8.9%*	*6.4%*	*18.8%*		*-15.2%*	*8.4%*	*5.2%*	*18.4%*		
Europe				*-15.7%*	*19.0%*	*5.9%*	*19.5%*		*-16.8%*	*10.3%*	*3.8%*	*21.2%*		
Asia				*-9.7%*	*9.8%*	*8.9%*	*9.3%*		*-12.3%*	*4.7%*	*8.0%*	*12.7%*		
Rest of World				*-5.4%*	*10.6%*	*10.2%*	*-2.4%*		*1.8%*	*4.0%*	*8.2%*	*1.4%*		
Total ARPU				***-13.2%***	***11.3%***	***7.1%***	***13.9%***		***-13.3%***	***7.5%***	***5.7%***	***15.4%***		

Family Avg. Revenue per Person (ARPP)	2022A	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E
Family ARPP (Daily)	**$39.42**	**$42.97**	**$49.47**	**$12.36**	**$13.65**	**$14.46**	**$16.20**	**$56.52**	**$14.04**	**$15.04**	**$15.82**	**$17.99**	**$62.75**	**$68.76**
Y/Y Growth	*-6.1%*	*9.0%*	*15.1%*	*10.3%*	*14.7%*	*17.7%*	*13.7%*	*14.2%*	*13.6%*	*10.2%*	*9.3%*	*11.1%*	*11.0%*	*9.6%*
Q/Q Growth				*-13.2%*	*10.4%*	*6.0%*	*12.0%*		*-13.3%*	*7.1%*	*5.1%*	*13.8%*		
Family ARPP (Monthly)	**$31.23**	**$34.46**	**$39.85**	**$9.94**	**$11.00**	**$11.69**	**$13.12**	**$46.00**	**$11.39**	**$12.20**	**$12.85**	**$14.65**	**$51.22**	**$56.13**
Y/Y Growth	*-7.0%*	*10.3%*	*15.6%*	*10.6%*	*15.1%*	*18.9%*	*15.1%*	*15.4%*	*14.6%*	*10.9%*	*9.9%*	*11.6%*	*11.4%*	*9.6%*
Q/Q Growth				*-12.8%*	*10.7%*	*6.3%*	*12.3%*		*-13.2%*	*7.1%*	*5.3%*	*14.0%*		

Revenue Based on User Location	2022A	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E
US & Canada	54,591	61,245	72,063	18,605	20,371	21,751	25,880	86,607	21,963	23,937	25,323	29,991	101,214	113,724
Europe	25,785	30,886	38,778	9,680	11,532	12,268	14,680	48,160	12,201	13,513	14,110	17,106	56,930	64,559
Asia	23,499	26,915	32,834	8,439	9,366	10,272	11,292	39,369	9,969	10,512	11,414	12,924	44,819	49,794
Rest of World	12,734	15,855	20,825	5,590	6,247	6,951	6,835	25,623	6,986	7,302	7,969	8,131	30,388	35,751
Total Revenue	**116,609**	**134,902**	**164,501**	**42,314**	**47,516**	**51,242**	**58,687**	**199,759**	**51,119**	**55,264**	**58,816**	**68,152**	**233,351**	**263,828**
Revenue Split by Region:														
US & Canada	46.8%	45.4%	43.8%	44.0%	42.9%	42.4%	44.1%	43.4%	43.0%	43.3%	43.1%	44.0%	43.4%	43.1%
Europe	22.1%	22.9%	23.6%	22.9%	24.3%	23.9%	25.0%	24.1%	23.9%	24.5%	24.0%	25.1%	24.4%	24.5%
Asia	20.2%	20.0%	20.0%	19.9%	19.7%	20.0%	19.2%	19.7%	19.5%	19.0%	19.4%	19.0%	19.2%	18.9%
Rest of World	10.9%	11.8%	12.7%	13.2%	13.1%	13.6%	11.6%	12.8%	13.7%	13.2%	13.5%	11.9%	13.0%	13.6%
Total Revenue	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**
Revenue Y/Y Growth:														
US & Canada	*-1.8%*	*12.2%*	*17.7%*	*17.6%*	*20.9%*	*23.5%*	*18.8%*	*20.2%*	*18.0%*	*17.5%*	*16.4%*	*15.9%*	*16.9%*	*12.4%*
Europe	*-11.4%*	*19.8%*	*25.6%*	*14.1%*	*24.0%*	*29.2%*	*27.6%*	*24.2%*	*26.0%*	*17.2%*	*15.0%*	*16.5%*	*18.2%*	*13.4%*
Asia	*8.4%*	*14.5%*	*22.0%*	*12.8%*	*18.7%*	*25.0%*	*22.1%*	*19.9%*	*18.1%*	*12.2%*	*11.1%*	*14.5%*	*13.8%*	*11.1%*
Rest of World	*10.2%*	*24.5%*	*31.3%*	*19.8%*	*24.0%*	*31.9%*	*16.8%*	*23.0%*	*25.0%*	*16.9%*	*14.6%*	*19.0%*	*18.6%*	*17.6%*
Total Revenue	***-1.1%***	***15.7%***	***21.9%***	***16.1%***	***21.6%***	***26.2%***	***21.3%***	***21.4%***	***20.8%***	***16.3%***	***14.8%***	***16.1%***	***16.8%***	***13.1%***

Revenue Based on Customer Address	2022A	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E
US & Canada	50,150	52,888	63,207	16,869	18,454	19,368	23,355	78,046	20,243	21,222	22,079	26,976	90,519	100,477
Europe	26,681	31,210	38,361	9,621	11,128	11,874	14,151	46,774	11,449	13,020	13,656	16,486	54,610	61,163
Asia	27,760	36,154	45,009	11,239	12,858	14,054	14,860	53,010	13,487	14,530	15,881	16,940	60,837	67,529
Rest of World	12,018	14,650	17,924	4,585	5,076	5,946	6,321	21,929	5,940	6,492	7,201	7,751	27,384	34,659
Total Revenue	**116,609**	**134,902**	**164,501**	**42,314**	**47,516**	**51,242**	**58,687**	**199,759**	**51,119**	**55,264**	**58,816**	**68,152**	**233,351**	**263,828**
Revenue Split by Region:														
US & Canada	43.0%	39.2%	38.4%	39.9%	38.8%	37.8%	39.8%	39.1%	39.6%	38.4%	37.5%	39.6%	38.8%	38.1%
Europe	22.9%	23.1%	23.3%	22.7%	23.4%	23.2%	24.1%	23.4%	22.4%	23.6%	23.2%	24.2%	23.4%	23.2%
Asia	23.8%	26.8%	27.4%	26.6%	27.1%	27.4%	25.3%	26.5%	26.4%	26.3%	27.0%	24.9%	26.1%	25.6%
Rest of World	10.3%	10.9%	10.9%	10.8%	10.7%	11.6%	10.8%	11.0%	11.6%	11.7%	12.2%	11.4%	11.7%	13.1%
Total	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Revenue Y/Y Growth:														
US & Canada	*-2.7%*	*5.5%*	*19.5%*	*23.6%*	*26.1%*	*24.0%*	*21.0%*	*23.5%*	*20.0%*	*15.0%*	*14.0%*	*15.5%*	*16.0%*	*11.0%*
Europe	*-8.2%*	*17.0%*	*22.9%*	*14.5%*	*21.6%*	*29.0%*	*22.0%*	*21.9%*	*19.0%*	*17.0%*	*15.0%*	*16.5%*	*16.8%*	*12.0%*
Asia	*3.8%*	*30.2%*	*24.5%*	*9.0%*	*17.2%*	*25.0%*	*19.0%*	*17.8%*	*20.0%*	*13.0%*	*13.0%*	*14.0%*	*14.8%*	*11.0%*
Rest of World	*13.5%*	*21.9%*	*22.3%*	*12.0%*	*17.7%*	*31.5%*	*26.5%*	*22.3%*	*29.6%*	*27.9%*	*21.1%*	*22.6%*	*24.9%*	*26.6%*
Total	***-1.1%***	***15.7%***	***21.9%***	***16.1%***	***21.6%***	***26.2%***	***21.3%***	***21.4%***	***20.8%***	***16.3%***	***14.8%***	***16.1%***	***16.8%***	***13.1%***

Source: Company reports and J.P. Morgan estimates.

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Investment Thesis, Valuation and Risks

Meta Platforms Inc *(Overweight; Price Target: $800.00)*

Investment Thesis

We believe Meta's virtual ownership of the social graph, strong competitive moat, and focus on the user experience position it to become an enduring blue-chip company built for the long term. Meta is in rarefied air across the combination of scale, growth, and profitability, as the company's massive reach and engagement continue to drive network effects, and its targeting abilities provide significant value to advertisers. Meta is also focused on the two big tech waves of AI and Metaverse, and it will spend into those major growth opportunities while also remaining disciplined. We recognize these L-T ambitions are driving increasing infrastructure investments to get ahead of a multi-year capacity ramp, but despite the heavy investments, we project solid revenue growth in '26, and Meta has a strong track record of driving returns on increased spending.

Valuation

We reduce our December 2026 PT from $875 to $800 based on ~24x our 2027E GAAP EPS of $32.97, further supported by our DCF model. We apply a premium to the SPX as we have greater confidence in Meta's strong top-line growth and ongoing cost efficiencies. We use this valuation approach as we believe it appropriately balances Meta's valuation relative to its growth and industry peers. Our DCF results in an estimated value of $800 per share and employs an ~13% WACC and a +8% terminal growth rate.

Risks to Rating and Price Target

Downside risks include: **1)** slowing engagement, especially in younger demo and more mature markets; **2)** the macro backdrop remains uncertain and volatile; **3)** Reels structurally slower scroll speed and potentially lower monetization L-T; **4)** competition for online and mobile ad dollars from Google, TikTok, and other online advertising companies; **5)** metaverse & AI investments are heavy, while monetization lags; **6)** share structure and Mark Zuckerberg's control; & **7)** worse than expected impact from regulatory changes.

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Meta Platforms Inc: Summary of Financials

Income Statement - Annual	FY23A	FY24A	FY25E	FY26E	FY27E
Revenue	**134,902**	**164,501**	**199,759**	**233,351**	**263,828**
COGS	(25,264)	(29,076)	(34,643)	(41,240)	(47,489)
Gross profit	**109,638**	**135,425**	**165,117**	**192,111**	**216,339**
SG&A	(20,347)	(19,030)	(22,209)	(25,079)	(27,570)
Adj. EBITDA	**77,553**	**102,275**	**121,927**	**135,797**	**155,501**
D&A	(11,177)	(15,498)	(18,975)	(29,317)	(35,636)
Adj. EBIT	**67,414**	**87,867**	**104,096**	**107,681**	**121,127**
Net Interest	(446)	(715)	(963)	(964)	(868)
Adj. PBT	**68,091**	**89,151**	**107,272**	**112,193**	**126,974**
Tax	(8,331)	(8,304)	(26,258)	(10,882)	(12,576)
Minority Interest	0	0	0	0	0
Adj. Net Income	**55,154**	**72,183**	**86,856**	**90,840**	**102,808**
Reported EPS	14.87	23.86	23.03	29.08	32.97
Adj. EPS	**20.98**	**27.61**	**33.75**	**35.53**	**40.27**
DPS	**-**	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-	-
Shares outstanding	2,629	2,614	2,574	2,557	2,553

Balance Sheet & Cash Flow Statement	FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	41,862	43,889	13,644	6,003	8,457
Accounts receivable	16,169	16,994	19,367	21,127	22,425
Inventories	-	-	-	-	-
Other current assets	27,334	39,162	45,634	45,634	45,634
Current assets	**85,365**	**100,045**	**78,645**	**72,764**	**76,516**
PP&E	96,587	121,346	177,975	263,970	362,886
LT investments	-	-	-	-	-
Other non current assets	47,671	54,663	70,456	70,456	70,456
Total assets	**229,623**	**276,054**	**327,076**	**407,190**	**509,859**
Short term borrowings	0	0	0	0	1,500
Payables	4,849	7,687	11,737	12,949	15,830
Other short term liabilities	27,111	25,909	29,813	32,781	36,411
Current liabilities	**31,960**	**33,596**	**41,551**	**45,730**	**53,740**
Long-term debt	18,385	28,826	28,834	28,834	24,584
Other long term liabilities	26,110	30,995	43,986	43,986	43,986
Total liabilities	**76,455**	**93,417**	**114,371**	**118,550**	**122,310**
Shareholders' equity	153,168	182,637	212,706	288,640	387,548
Minority interests	-	-	-	-	-
Total liabilities & equity	**229,623**	**276,054**	**327,076**	**407,190**	**509,859**
BVPS	**58.26**	**69.87**	**82.64**	**112.88**	**151.82**
y/y Growth	*25.2%*	*19.9%*	*18.3%*	*36.6%*	*34.5%*
Net debt/(cash)	(47,018)	(48,989)	(19,071)	(11,430)	(16,634)
Cash flow from operating activities	**71,113**	**91,328**	**115,157**	**131,426**	**153,501**
o/w Depreciation & amortization	11,177	15,498	18,975	29,317	35,636
o/w Changes in working capital	3,837	1,050	(26)	2,419	5,212
Cash flow from investing activities	**(24,495)**	**(47,150)**	**(91,791)**	**(116,512)**	**(135,752)**
o/w Capital expenditure	(27,045)	(37,256)	(71,783)	(115,312)	(134,552)
as % of sales	*20.0%*	*22.6%*	*35.9%*	*49.4%*	*51.0%*
Cash flow from financing activities	**(19,500)**	**(40,781)**	**(55,412)**	**(22,555)**	**(15,295)**
o/w Dividends paid	-	-	-	-	-
o/w Net debt issued/(repaid)	8,455	10,432	0	0	(2,750)
Net change in cash	**27,231**	**2,611**	**(31,794)**	**(7,641)**	**2,454**
Adj. Free cash flow to firm	**44,429**	**54,651**	**44,154**	**16,894**	**19,652**
y/y Growth	*128.6%*	*23.0%*	*(19.2%)*	*(61.7%)*	*16.3%*

Income Statement - Quarterly	1Q25A	2Q25A	3Q25A	4Q25E
Revenue	**42,314A**	**47,516A**	**51,242A**	**58,687**
COGS	(7,301)A	(8,213)A	(8,858)A	(10,270)
Gross profit	**35,013A**	**39,303A**	**42,384A**	**48,417**
SG&A	(4,588)A	(5,166)A	(5,706)A	(6,749)
Adj. EBITDA	**25,763A**	**29,689A**	**31,125A**	**35,350**
D&A	(3,900)A	(4,342)A	(4,963)A	(5,770)
Adj. EBIT	**22,121A**	**25,646A**	**26,464A**	**29,865**
Net Interest	(240)A	(241)A	(241)A	(241)
Adj. PBT	**22,948A**	**25,739A**	**27,592A**	**30,993**
Tax	(1,738)A	(2,197)A	(18,954)A	(3,369)
Minority Interest	0A	0A	0A	0
Adj. Net Income	**18,581A**	**20,841A**	**22,341A**	**25,094**
Reported EPS	6.43A	7.14A	1.05A	8.42
Adj. EPS	**7.17A**	**8.11A**	**8.69A**	**9.79**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	2,590A	2,570A	2,572A	2,564

Ratio Analysis	FY23A	FY24A	FY25E	FY26E	FY27E
Gross margin	81.3%	82.3%	82.7%	82.3%	82.0%
EBITDA margin	57.5%	62.2%	61.0%	58.2%	58.9%
EBIT margin	50.0%	53.4%	52.1%	46.1%	45.9%
Net profit margin	40.9%	43.9%	43.5%	38.9%	39.0%
ROE	39.6%	43.0%	43.9%	36.2%	30.4%
ROA	26.6%	28.5%	28.8%	24.7%	22.4%
ROCE	35.6%	37.1%	37.2%	31.2%	26.8%
SG&A/Sales	15.1%	11.6%	11.1%	10.7%	10.5%
Net debt/equity	NM	NM	NM	NM	NM
P/E (x)	35.8	27.2	22.3	21.2	18.7
P/BV (x)	12.9	10.8	9.1	6.7	5.0
EV/EBITDA (x)	25.2	19.1	16.0	14.3	12.4
Dividend Yield	-	-	-	-	-
Sales/Assets (x)	0.6	0.7	0.7	0.6	0.6
Interest cover (x)	173.9	143.0	126.6	140.9	179.2
Operating leverage	281.3%	138.3%	86.2%	20.5%	95.6%
Revenue y/y Growth	15.7%	21.9%	21.4%	16.8%	13.1%
EBITDA y/y Growth	42.4%	31.9%	19.2%	11.4%	14.5%
Tax rate	19.0%	19.0%	19.0%	19.0%	19.0%
Adj. Net Income y/y Growth	45.8%	30.9%	20.3%	4.6%	13.2%
EPS y/y Growth	49.9%	31.6%	22.2%	5.3%	13.4%
DPS y/y Growth	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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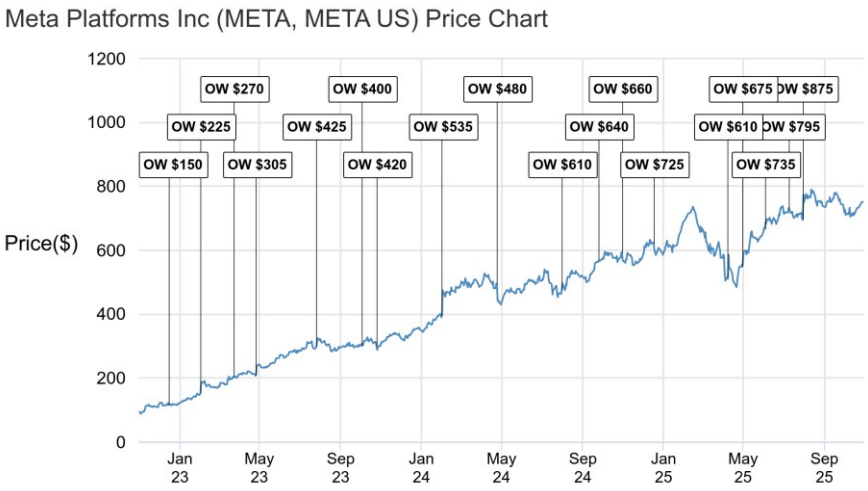

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 27, 2012. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
16-Dec-22	OW	116.15	150
02-Feb-23	OW	153.12	225
24-Mar-23	OW	204.28	270
27-Apr-23	OW	209.40	305
27-Jul-23	OW	298.57	425
04-Oct-23	OW	300.94	400
26-Oct-23	OW	299.53	420
02-Feb-24	OW	394.78	535
25-Apr-24	OW	493.50	480
01-Aug-24	OW	474.83	610
26-Sep-24	OW	568.31	640
31-Oct-24	OW	591.80	660
18-Dec-24	OW	619.44	725
08-Apr-25	OW	516.25	610
01-May-25	OW	549.00	675
04-Jun-25	OW	666.85	735
11-Jul-25	OW	727.24	795
31-Jul-25	OW	695.21	875

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	Overweight (buy)	**Neutral** (hold)	**Underweight** (sell)
J.P. Morgan Global Equity Research Coverage*	50%	38%	12%
IB clients**	50%	48%	35%
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IB clients**	73%	69%	52%

***Please note that the percentages may not add to 100% because of rounding.**
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